

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

The question required the candidates to discuss the different ways to discharge a valid contract.

A valid contract can be terminated or discharged in the following ways:

Discharge by Performance

The general rule is performance must be precise and exact. A contract is fully discharged when both parties have fully and precisely performed their obligations as set out in the contract.

An indivisible contract or an entire contract is conditional on performance of all the obligations of the other party if consideration is to pass from one party (see *Cutter v Powell* [1795] 6 Term Rep 320 in which the widow of the deceased seaman Cutter's claim for payment of wages for work done before his death failed because Cutter did not complete the voyage before his death).

A claim may be made by a party who has not completely performed the contract if the other party to the contract has received a benefit from and agreed to accept the partial performance when it became clear that there would not be exact performance.

Under the doctrine of substantial performance, a party who has performed his/ her contractual obligations, with the exception of minor matters or defects, will be allowed to enforce the contractual obligations of the other party subject to a proportionate reduction for damages in respect of the defects. A relevant case is *Hoenig v Isaacs* [1952] 2 All ER 176 relating to decoration work in which there were minor defects in respect of a bookshelf and a door.

Discharge of contract by agreement of the parties

Where a contract is executory on both sides, the parties may discharge it by mutual consent so that they are both released from performing their respective outstanding contractual obligations.

A contract can be terminated by notice given by one party pursuant to the relevant provisions in the contract.

A contract can be terminated upon the occurrence of a specified event as stipulated in a *force majeure* clause so that both parties are automatically relieved from performance of their contractual obligations.

Discharge of contract by breach

Breach of contract occurs when a party fails or refuses to provide due performance of his/ her contractual obligations at the stipulated time.

If a party evinces an intention, by words or conduct, to refuse to perform his/ her contractual obligations under the contract before the time fixed for performance, it is a case of anticipatory breach or anticipatory repudiation.

Repudiation/ repudiatory breach occurs when a party fails or refuses to duly perform his/ her contractual obligations at the stipulated time for performance. However, refusal to perform a contract amounts to a repudiation which entitles the other party to rescind or treat the contract as at an end if it is a refusal to perform a condition, i.e., something which goes to the root or essence of the contract, or if a party is in breach of an innominate term in such a way that the non-breaching party is deprived of substantially the whole benefit of the contract (see *Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26).

Discharge by frustration

The doctrine of frustration operates to relieve parties from further performance of contractual obligations where:

- (i) the parties have entered into a contract on the basis that some fundamental thing or state of things will continue to exist, or that some particular person will continue to be available (see *Krell v Henry* [1903] 2 KB 740); and
- (ii) an unforeseen event relating to the matter stated above makes performance impossible (see *Taylor v Caldwell* [1863] 3 B & S 826), or illegal (see *Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* [1943] AC 32), or possible in a very different way from that contemplated by the parties, but without default of either party.

Answer 1(b)

This question required the candidates to discuss the discharge of contract by breach and by frustration.

John was injured in a robbery, which was an unforeseen event and which was not his fault. Therefore, the contract entered into by WWL and John was discharged by frustration and WWL cannot sue John for damages for breach of contract.

GCL made souvenirs with the wrong logo. As Michael stressed that the logo was important, the wrong logo clearly amounted to a breach of condition and hence repudiation of the contract entered into by WWL and GCL. WWL can therefore sue GCL for damages for breach of contract.

Answer 1(c)

This question required the candidates to analyse the remedies available to WWL.

As the contract signed by WWL and John was frustrated, and John was not in breach of contract, WWL will not be entitled to any remedies.

GCL's repudiation of the contract it has entered into with WWL entitles WWL to rescind the contract and claim damages from GCL.

Answer 2(a)

This question required the candidates to explain the meaning of a retention of title clause and the purpose of including such a clause in a sale of goods agreement.

A retention of title clause ("ROT clause"), commonly referred to as a Romalpa clause, is inserted by the seller in a sale of goods contract/ agreement whereby the seller is allowed to retain legal ownership/ title to the goods until he/ she has received full payment of the price, despite the fact that the goods have already been physically transferred to the buyer and are in the buyer's possession.

The purpose of a ROT clause is to protect sellers/ suppliers in the event of the buyer's insolvency or bankruptcy.

In the event of non-payment due to the buyer's insolvency or bankruptcy, the seller is entitled to repossess the goods because the seller is only taking back his/ her own goods.

In the case of *Aluminium Industrie Vaassen B.V. v Romalpa Aluminium Ltd.* [1976] 1 W.L.R. 676, the sale of goods contract entered into between the plaintiff (the seller) and the defendant (the buyer) included a clause which stated that "the ownership of the material to be delivered will only be transferred to the purchaser when he has met all that is owing to" the plaintiffs. It was held that the obvious purpose of the clause was to protect the plaintiffs as far as possible, in the event of the defendants' insolvency, from the risk of non-payment after they had parted with possession of the material delivered.

Answer 2(b)

This question required the candidates to analyse whether the retention of title clause set out in the sale of goods agreement entered into by SIL and UML is enforceable in Hong Kong.

The concept of a legal title passing to the buyer only when certain requirements are fulfilled is recognised under Hong Kong law. Under s.19, "where there is a contract for the sale of specific or ascertained goods, the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred". Hence, parties can stipulate the circumstances under which the legal title to the goods will pass.

Further, s.21(1) states that "where there is a contract for the sale of specific goods, or where goods are subsequently appropriated to the contract, the seller may, by the terms of the contract or appropriation, reserve the right of disposal of the goods until certain conditions are fulfilled. In such case, notwithstanding the delivery of the goods to the buyer, or to a carrier or other bailee for the purpose of transmission to the buyer, the property in the goods does not pass to the buyer until the conditions imposed by the seller are fulfilled".

In *Compaq Computer Ltd v Abercorn Group Ltd & Ors* [1991] B.C.C. 484 (Eng. Ch.), "Compaq" supplied computer products to the defendant, "Abercorn", under a dealer agreement in which Compaq reserved title in its products until payment of the price of those products and any other sums owing by Abercorn to Compaq had been made. Abercorn subsequently went into receivership owing Compaq over £700,000 in respect of Compaq products. Compaq products in Abercorn's possession which were unsold at that date were returned to Compaq by the receivers without contest.

On the strength of the Sale of Goods Ordinance (Cap.26) and the two authorities discussed in the answers 2(a) and 2(b), namely, *Aluminium Industrie Vaassen B.V. v Romalpa Aluminium Ltd.* and *Compaq Computer Ltd v Abercorn Group Ltd & Ors*, it is likely that the retention of title clause contained in the sale of goods agreement entered into by SIL and UML will be enforceable and the liquidator will probably return the unused sheet iron in UML's inventory to SIL.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Sale of Goods Ordinance (Cap.26).

Answer 3(a)(i)

This question required the candidates to discuss an employee's breach of implied duties owed to the employer.

Under common law, the implied duties owed by an employee to an employer are:

- (i) obey lawful and reasonable orders within the scope of employment;
- (ii) serve the employer with fidelity and good faith and in the best interest of the employer;
- (iii) not disclose or misuse trade secrets or confidential information acquired in the course of his/ her employment;
- (iv) carry out his/ her work with reasonable care and skill; and
- (v) refrain from making secret profits, and account to his/ her employer for any secret profits which he/ she has made in the course of his/ her employment.

In *Kuoni Travel (China) Ltd v Kelly Frances Richards* HCA1265/2006, the court explained the meaning of a trade secret acquired by employees during the course of employment as described in the case *Faccenda Chicken Ltd v Fowler* [1987] Ch 117 (CA, Eng). It was held in the Kuoni Travel case that a trade secret must be information:

- (i) used in a trade or business;
- (ii) which is confidential, i.e., not already in the public domain;

- (iii) which can be easily isolated from other information which the employee is free to use;
and
- (iv) which the owner of the information must limit its dissemination or at least not encourage or permit its widespread publication.

Answer 3(a)(ii)

This question required the candidates to discuss the legal consequences of the breach of implied duties made by two employees.

The formula of HGL's most popular product is clearly a trade secret of HGL. Ernest's act of disclosing such a formula to his employer's main competitor, GCL, in exchange for a significant monetary reward clearly amounts to a breach of an employee's duty of fidelity and good faith as well as a breach of the duty not to disclose and misuse confidential information or trade secrets acquired in the course of employment.

As regards Edith, her act of forging invoices in order to trick her employer into making payments for goods which were not delivered clearly constitutes a breach of the duty to serve her employer with fidelity and good faith.

Both Ernest and Edith can be summarily dismissed by their employer on the following two grounds: namely, conducting himself/ herself in such a way which is inconsistent with the due and faithful discharge of his/ her duties and being guilty of fraud or dishonesty.

HGL is also entitled to sue both Ernest and Edith for damages for any loss sustained as a result of their breach of implied duties as discussed above from common law.

Answer 3(b)

This question required the candidates to discuss the offence of bribery committed by Ernest by accepting the offer of monetary reward from GCL in exchange for disclosing the trade secret of his employer HGL to GCL.

The Prevention of Bribery Ordinance (Cap.201) aims at combating corruption. The key section which deals with corrupt transactions with agents is s.9.

S.9(1) states that "any agent who, without lawful authority or reasonable excuse, solicits or accepts any advantage as an inducement to or reward for or otherwise on account of his/ her doing or forbearing to do, or having done or forborne to do, any act in relation to his/ her principal's affairs or business shall be guilty of an offence".

Under s.2, advantage means any gift, loan, fee, reward, or commission consisting of money or of any valuable security or of other property or interest in property of any description.

By accepting the offer of monetary reward from GCL in exchange for disclosing the trade secret of his employer HGL to GCL, Ernest has taken a bribe and committed an offence under s.9(1).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 3(c)

This question required the candidates to discuss the offence of deceiving one's principal by using false documents under the Prevention of Bribery Ordinance ("POBO").

The POBO aims at combating corruption. The key section which deals with corrupt transactions with agents is s.9.

S.9(3) states that any agent who, with intent to deceive his principal, uses any receipt, account, or other document in respect of which the principal is interested; and which contains any statement which is false or erroneous or defective in any material particular; and which to his knowledge is intended to mislead the principal, shall be guilty of an offence.

By forging invoices for goods which were never delivered, Edith has misled her employer HGL into make payments with the intent to deceive her employer and has therefore committed an offence under s.9(3).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 4(a)(i)

This question required the candidates to discuss various ways of creation of agency.

Agency can be created in four ways:

- (i) By express appointment made orally or in writing;
- (ii) By ratification - The principal's subsequent ratification or confirmation of the contract entered into by the agent acting without or in excess of his/ her authority with a third party;
- (iii) By necessity, whereby the agent, without any prior agreement with or authorisation of the principal, acts in good faith and for the benefit of the principal in a situation of genuine emergency and it is impossible for the agent to obtain the principal's instructions before the act is done; or

- (iv) By estoppel, whereby the principal has made certain representations by words or conduct which have the effect of misleading a third party into believing that the agent has the authority to enter into contracts on the principal's behalf and the third party has acted in reliance on this authority.

Answer 4(a)(ii)

This question required the candidates to discuss whether GAL is liable to pay for the painting delivered by EAG.

Susanna is employed by GAL as the Executive Secretary, and Timothy expressly told her that she is not allowed to place orders for any artwork. When Susanna placed an order for the painting at the grand opening of EAG, she acted without actual express, actual implied, or apparent authority.

When the painting was delivered and Timothy became aware of Susanna's unauthorised act, Timothy did not raise any objection to Susanna's unauthorised act but decided to resell it to Mr. Rich, a client, instead. His decision to resell the painting constituted a retrospective approval of, and hence ratification of, Susanna's unauthorised act.

Ratification only occurs if the following essential elements are present:

- (i) The agent must have acted on behalf of the principal without actual or apparent authority.
- (ii) The principal must have had knowledge of the material facts relating to the agent's act.
- (iii) The principal must have approved or adopted the agent's act.

Timothy's act of reselling the painting to Mr. Rich fulfils the requirements for ratification.

When Timothy ratified Susanna's unauthorised act, Timothy assumed liability for Susanna's act and Susanna was relieved of any personal liability for her act.

Therefore, GAL is probably liable to pay EAG for the painting.

Answer 4(b)

This question required the candidates to discuss essential elements of negligence and whether Susanna can bring a claim against GTC for damages on the grounds of negligence.

Liability for negligence is imposed on a person for his/ her careless acts which result in personal injury and damage to or loss of property. It is a civil wrong and not a crime, and the wrongdoer is known as a "tortfeasor".

In order to prove liability for negligence, the plaintiff, Susanna, must establish the following four elements:

- (i) The defendant owed a duty of care to the plaintiff;
- (ii) The defendant breached the duty of care;
- (iii) The plaintiff's injury or loss/ damage was directly caused by the defendant; and
- (iv) The injury or damage must be reasonably foreseeable.

In the famous case of *Donoghue v Stevenson [1932] AC 562*, the judge Lord Atkin created the neighbour principle to establish the duty of care. According to this principle, one must "take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Your neighbour is anyone closely and directly affected by my act that I ought to have them in my contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question".

GTC owed customers such as Susanna a duty of care to ensure that the food served to them was safe for consumption.

By serving customers like Susanna with food which was not safe and not fit for consumption, GTC was in breach of its duty of care.

Susanna's sickness and hospitalisation were directly caused by the unsafe food served by GTC.

It was reasonably foreseeable that a customer like Susanna would be harmed by food which was not safe and not fit for consumption.

Therefore, Susanna is entitled to bring a claim against GTC for damages.

Answer 5(a)(i)

This question required the candidates to discuss the meaning of a debenture.

A debenture is an instrument which evidences and acknowledges indebtedness of a company. A debenture can be secured or unsecured.

Under s.2, a debenture, in relation to a company, includes debenture stock, bonds, and any other debt securities of the company, whether or not constituting a charge on the assets of the company.

In practice, a debenture typically creates a fixed or floating charge over the assets of the company.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(a)(ii)

This question required the candidates to discuss what a fixed charge is and how a valid fixed charge can be created.

A fixed charge is a charge over specific assets of the borrower (i.e., the chargor), such as land and buildings, which are not disposed of in the ordinary course of business.

Upon the creation of a fixed charge, the borrower cannot deal the charged asset(s) without the consent of the lender (i.e., the chargee).

A debenture typically creates a fixed charge over specific assets of the company such as land, shares, and equipment put out for hire, which are income generating and are not disposed of in the ordinary course of business.

In a very recent case, *Re Avanti Communications Ltd (in administration)* [2023] EWHC 940 (Ch), it was held that as regards income generating assets such as land, shares, and equipment put out for hire, a charge is a fixed charge if the charged asset has to be preserved for the benefit of the chargee and not at the free disposal of the chargor although the income generated by the charged assets is at the disposal of the chargor. Further, the charge is a fixed charge if the chargee is given significant control over the charged asset and the chargor is unable to deal with the charged asset in the ordinary course of its business.

As regards the creation of a valid charge, the Companies Ordinance stipulates that charges of a company must be registered, e.g., a charge over land or any interest in land (s.334).

Failure to register a registrable charge renders the charge void against any liquidator and creditor of the company (s.337(4)).

Under s.335, a company must deliver a statement of the particulars of the charge, together with a certified copy of the instrument (if any) creating or evidencing the charge to the Registrar for registration within a month of the creation of the charges. If the company does not register the charge, the chargee can register the charge under s.335(3), and it is in its interest to do so.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(a)(iii)

This question required the candidates to discuss what a floating charge is and how a valid floating charge can be created.

A floating charge can be created over all the assets, or a class of assets, owned by the borrower (i.e., the chargor) which may fluctuate and change from time to time, such as trading stocks and book debts, including future assets.

Under a floating charge, the borrower (or the chargor) enjoys the advantage of being able to continue to deal with and/ or dispose of its assets in the ordinary course of business before crystallisation of the charge.

On crystallisation, the charge converts to a fixed charge and attaches to all the charged assets currently owned by the borrower (or acquired afterwards), and the borrower loses the right to deal with those assets.

The three main characteristics of a floating charge are described in the case *Re Yorkshire Woolcombers Association [1903] 2 Ch 284*:

- (i) It is a charge on a class of assets of a company, present and/ or future;
- (ii) That class is one which, in the ordinary course of the business of the company, would be changing from time to time, including property acquired after the creation of the charge; and
- (iii) Until the holders of the charge enforce it, the company may deal with the particular class of assets to carry on its business in the ordinary way without the chargee's control.

In *Re Spectrum Plus Ltd [2005] 2 AC 680 [2005] UKHL 41 [2005] All ER (D) 368*, it was held by the House of Lords that the charge was floating if the chargor was free to remove the charged assets from the scope of the security and used them for its own benefit in the course of its business at least until the charge crystallised.

A floating charge crystallises if there is a default on payment or events such as a court's order to wind up the company. At that stage, the floating charge is converted to a fixed charge over the assets covered by the charge at that time. If a default occurs, the charge holder may be able to appoint an administrative receiver or an administrator.

As regards the creation of a valid floating charge, s.334(j) states that a floating charge over the undertaking or property of the company must be registered.

Failure to register a registrable charge renders the charge void against any liquidator and creditor of the company (s.337).

Under s.335, a company must deliver a statement of the particulars of the charge, together with a certified copy of the instrument (if any) creating or evidencing the charge, to the Registrar for registration within a month of the creation of the charge. If the company does not register the charge, the chargee can register the charge under s.335(3), and it is in its interest to do so.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(b)

This question required the candidates to discuss how a company can apply for dormant status.

An inactive company in Hong Kong which does not have any accounting transaction can declare itself dormant to save costs. This is the greatest advantage of declaring a company dormant.

Under s.447, a dormant company does not have to fulfil the following requirements: preparing financial statements or director's reports, appointing auditors, holding annual general meetings, or filing annual returns.

According to s.2, in relation to a company, an accounting transaction means a transaction that is required by s.373 to be entered in the company's accounting records, e.g., receipt and expenditure of money, assets, and liabilities, excluding a transaction arising from the payment of any fee that the company is required by an Ordinance to pay.

According to s.5, the members of a private company can pass and deliver to the Registrar of Companies for registration a special resolution declaring that the company will become dormant from either the date of delivery of the special resolution to the Registrar of Companies or any later date that is specified in the special resolution.

The directors should file the special resolution with the Companies Registry within 15 days after passing the resolution.

A dormant company ceases to be dormant if there is an accounting transaction in relation to the company.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(c)

This question required the candidates to discuss how to de-register a private company.

Deregistration is a convenient and inexpensive way to dissolve a defunct and solvent private company.

Under s.750, a company, or a director or member of a company, may apply to the Registrar for deregistration of the company if the following requirements are fulfilled:

- (i) all the members of the company agree to the deregistration;
- (ii) the company has not commenced operation or business, or has not been in operation or carried on business during the 3 months immediately before the application;
- (iii) the company has no outstanding liabilities;

- (iv) the company is not a party to any legal proceedings;
- (v) the company's assets do not consist of any immovable property situated in Hong Kong;
- (vi) if the company is a holding company, none of its subsidiary's assets consist of any immovable property situated in Hong Kong; and
- (vii) the company has obtained a "Notice of No Objection to a Company being Deregistered" from the Commissioner of Inland Revenue.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 6(a)(i)

This question required the candidates to discuss the meaning of inside information.

Under s.245, inside information is defined as specific information that:

- (i) is about a corporation, a shareholder or officer, or the listed securities of the corporation or their derivatives; and
- (ii) is not generally known to the persons who are accustomed or would be likely to deal in the listed securities of a corporation but would, if it were generally known to them, likely materially affect the share price of the listed securities.

Information will be specific if it is capable of being identified, defined and unequivocally expressed. It must not be mere rumours, vague hopes and worries, and unsubstantiated conjecture.

The information disclosed by Michelle, SWL's Project Manager, to the project team, namely that SWL had won the tender for the colossal construction project, was not known to the public, and the management of SWL expected the share price of SWL to rise substantially after the announcement of this piece of information. The information disclosed by Michelle to Ricky is therefore inside information.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures Ordinance (Cap.571).

Answer 6(a)(ii)

This question required the candidates to discuss whether Ricky's conduct constituted insider dealing.

Insider dealing is one type of market misconduct as defined under s.245. The Securities and Futures Ordinance ("SFO") was introduced in 2003 and it contains a dual civil (Part XIII) and criminal regime (Part XIV) for dealing with insider dealing. Insider dealing is pursued through the Market Misconduct Tribunal ("MMT") under the civil regime and in criminal courts under the criminal regime. Whether the civil or criminal route is pursued depends on the sufficiency of evidence and whether prosecution is in the public interest.

Under s.270(1)(a) (Part XIII) and s.291(1)(a) (Part XIV), insider dealing occurs when a person connected with a listed corporation has information which he/ she knows is inside information in relation to that corporation and either he/ she:

- (i) deals in the corporation's listed securities or their derivatives or in those of a related corporation; or
- (ii) counsels or procures another person to deal in such listed securities or derivatives, knowing or having reasonable cause to believe that the other person will deal in them.

Being the partner of the MCC, the legal advisor of SWL, and a member of the project team of the colossal construction project in which SWL has been involved for months, Ricky was a connected person of SWL.

By buying a substantial number of shares of SWL before the announcement of this piece of information and selling the shares to reap a significant profit, Ricky may have committed insider dealing under ss.270(1)(a) or 291(1)(a).

The legal consequences faced by insider dealers are: criminal, civil, and administrative.

Ricky, being an insider dealer, faces a maximum penalty of HK\$10 million and 10 years' imprisonment.

Ricky is also liable to pay damages to any other person who sustained a monetary loss as a result of the misconduct.

In *Securities and Futures Commission v Chan Pak Hoe Pablo* [2011] 5 HKC 484, D was convicted by a magistrate of an offence contrary to s.291. He was sentenced to serve a community service order for 240 hours and ordered to pay HK\$44,478 prosecution costs.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures Ordinance (Cap.571).

Answer 6(b)(i)

This question required the candidates to discuss the differences in liability of a general partner and a limited partner in a limited partnership.

Under s.3, a general partner is liable for all debts and obligations of a firm, whereas a limited partner, who contributes at the time of entering into such a partnership a certain sum or sums as capital or property valued at a stated amount, is not liable for the debts or obligations of the firm beyond the amount so contributed.

However, if a limited partner draws out or receives back any part of this contribution during the continuance of the partnership, either directly or indirectly, he/ she will be liable for the debts and obligations of the firm up to the amount so drawn out or received back under s.3.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Limited Partnerships Ordinance (Cap.37).

Answer 6(b)(ii)

This question required the candidates to discuss the registration requirements for changing the status of a general partner to that of a limited partner.

Under s.8, if a general partner wishes to change his/ her status into that of a limited partner, a statement, signed by the firm and specifying the nature of the change, must be sent by post or delivered to the Registrar of Companies for registration within seven days.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Limited Partnerships Ordinance (Cap.37).

* * * END OF EXAMINATION PAPER * * *